

CLEVELAND-CLIFFS INC CLF

July 25, 2026 - 9:58pm EST

by

quads1025

			2026	2027
Price:	11.93	EPS	(0.23)	2.21
Shares Out. (in M):	571	P/E	NM	5.4
Market Cap (in \$M):	6,807	P/FCF	NM	4.0
Net Debt (in \$M):	7,848	EBIT	441	2,234
TEV (in \$M):	14,654	TEV/EBIT	33.2	6.6

Description

Summary

Cleveland-Cliffs Inc. (CLF) is an attractive long opportunity given the underappreciated earnings power of the Company. The stock has >90% return potential over the next 6-9 months.

On 07/23/26 CLF reported 2Q26 earnings during which management presented an illustrative bridge analysis to 2027E EBITDA of \$3.3bn and 2027E FCF of \$1.7bn. My own analysis, detailed below, indicates that management's projections for 2027 are realistic. The consensus estimate for 2027E EBITDA is \$2.2bn, well below management's illustrative bridge. This disconnect presents the opportunity.

At CLF's current stock price of \$11.93, the Company has market capitalization of \$6.8bn and an EV of \$14.7bn. Using management's projections, CLF is currently trading at only 4.5x EV/2027E EBITDA and at a very strong 25% FCF yield.

I anticipate that over the next 6-9 months, the consensus 2027E EBITDA estimate for CLF will increase to be more in line with management's projections, driving the stock upward in the process. At a reasonable 6.0x EV/EBITDA multiple on \$3.3bn of 2027E EBITDA and accounting for cumulative FCF and the commensurate decline in Net Debt, CLF stock should trade to ~\$23, up >90% from current levels. Increases in steel prices between now and then would provide even further upside.

Company Description

CLF is a North America-based steel producer with a focus on value-added sheet products, particularly for the automotive industry. CLF is vertically integrated from the mining of iron ore, production of pellets and direct reduced iron, and processing of ferrous scrap through primary steelmaking and downstream finishing, stamping, tooling and tubing. The Company is headquartered in Cleveland, OH.

Automotive-grade steel is generally higher quality and more operationally and technologically intensive to produce. Due to its demanding nature, the automotive steel business typically generates higher through-the-cycle margins.

As of 12/31/25 CLF had 20.0mm net tons of raw steel production capacity. The Company projects producing 16.5-17.0mm net tons of steel in 2026, an ~84% utilization rate.

CLF's 2025 Revenues by Product Line and End Market are presented below:

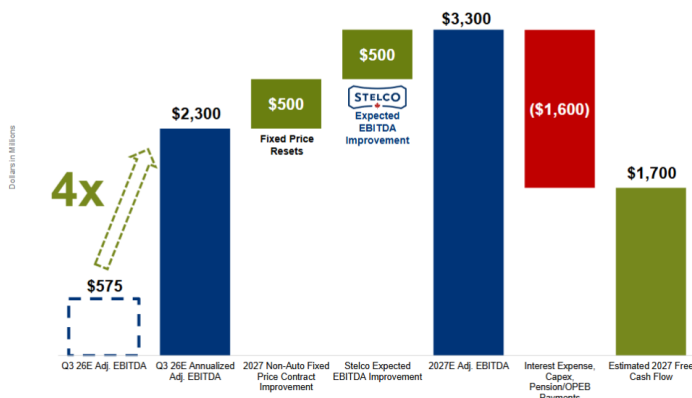
Revenue by Product Line	2025	Revenue by Market	2025
Steelmaking		Steelmaking	
Hot-Rolled Steel	\$ 4,770	Automotive	\$ 5,047
Cold-Rolled Steel	2,402	Infrastructure and Manufacturing	5,377
Coated Sheet	5,431	Distributors and Converters	5,195
Stainless and Electrical	1,748	Steel Producers	2,334
Plate	1,079		
Slab	881		
Other	1,642		
Total Steelmaking	17,953	Total Steelmaking	17,953
Other	657	Other	657
Total Revenues	\$ 18,610	Total Revenues	\$ 18,610

Illustrative Bridge to 2027E EBITDA and FCF

During CLF's 2Q26 earnings call, management presented the following illustrative bridge to 2027E EBITDA of \$3.3bn and FCF of \$1.7bn (slide 10 of the 2Q26 earnings presentation):

2027 EARNINGS POTENTIAL

Illustrative Bridge to 2027 Adjusted EBITDA and Free Cash Flow



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Note: Represents earnings potential using HRC futures curve. See last page of presentation for commentary regarding non-GAAP measures



Management has good visibility into 3Q26E and is guiding to \$575mm of EBITDA for the quarter. Management is using the \$575mm of EBITDA as the “base” for the bridge for 2027E, annualizing it to \$2,300mm in EBITDA as shown. Although not shown on the slide, management also guided for 4Q26E EBITDA to be even higher than the \$575mm in 3Q26E, suggesting that the \$2,300mm 2027E EBITDA “base” might even be conservative.

Management is then projecting two key contributors which should layer on an additional \$1.0bn of EBITDA to the 2027E EBITDA “base” of \$2,300mm:

- \$500mm incremental EBITDA from fixed price contract improvements
- \$500mm incremental EBITDA from Stelco improvements

Fixed Price Contract Improvements

CLF’s contract mix by volume for 2026E is the following:

- Fixed Price – 43%
- US Index Linked – Month Lag – 23%
- US Index Linked – Quarter Lag – 7%
- US Spot – 12%
- Canadian Spot – 15%

Every year during 4Q CLF negotiates with customers fixed price contracts for steel volumes for the upcoming year. In 4Q25 when CLF last negotiated its fixed price contracts, the steel market was quite weak, as shown by the graph of hot rolled coil (HRC) prices below. 4Q25 HRC prices ranged from \$800-900/ton. Since then and largely due to the enforcement of Section 232 tariffs which have reduced steel imports into the United States, the price of HRC has increased from ~\$900/ton at the end of 4Q25 to \$1,156/ton currently (HRC1 Comdty on Bloomberg).



CLF management projects \$500mm in EBITDA upside from the repricing of the non-automotive contracts. It is unclear what percentage of CLF’s fixed price contracts are automotive and which are non-automotive. Assuming (i) 70% of contract volume is automotive and 30% is non-automotive and (ii) the negotiated fixed price increase is \$230/ton, less than the ~\$300/ton HRC prices have actually risen from the midpoint of 4Q25 to the present, the math looks like this:

EBITDA Uplift from the Reset of Non-Automotive Fixed Price Contracts

Total Steel Volume (m tons)	16,750
% under Fixed Price Contracts	43.0%
Fixed Price Volume (m tons)	7,203
Non-Automotive %	30.0%
Non-Automotive Volume (m tons)	2,161
Price Increase (\$/ton)	\$ 230
Incremental EBITDA (\$ mm)	\$ 497

Importantly, the assumptions above are not “heroic”. Steel companies have significant operating leverage and any movements in steel prices can meaningfully drive EBITDA.

Stelco Improvements

On 07/15/24 CLF announced it was acquiring Canadian steel producer Stelco. CLF’s rationale for acquiring Stelco was to expand its steelmaking footprint and double its exposure to the flat-rolled spot market. Further, CLF saw that the transaction would bring integration opportunities, generating synergies (estimated at \$120mm annually) associated with procurement, overhead and public-company related expenses.

Importantly, Stelco’s Lake Erie Works is one of the newest and lowest-cost integrated steelmaking facilities in North America. Because of its cost-advantaged production, Stelco was a low-price exporter into the US market which CLF management viewed as highly disruptive to the US industry. A key part of CLF’s acquisition of Stelco was the redirection of its steel sales out of the US market and into the Canadian market.

Historically, steel prices in the Canadian market moved in tandem with the US market. On 11/01/24 CLF completed the Stelco acquisition, 4 days before President Trump’s election. Shortly after taking office in January 2025 President Trump began imposing tariffs on numerous foreign goods, including steel. Section 232 tariffs on steel were imposed at 25% in February 2025 and then increased to 50% in June 2025. As a result of tariffs being imposed by the US, Canada became a dumping ground for foreign-produced steel. The excess supply caused US and Canadian steel prices to decouple, negatively impacting the financial performance of Stelco. It wasn’t until late 2025 that the Canadian government took action by restricted imported steel into Canada. Since then, the Canadian steel market has been gradually coming back into balance over 1H26, supporting domestic pricing and volumes.

While CLF has not provided a breakout of each of the drivers (price, volume, costs, synergies) for the \$500mm in EBITDA uplift the Company expects to Stelco to

generate in 2027, the main driver appears to be price. As shown below, a \$250/ton realized price increase alone would generate an incremental \$500mm in EBITDA.

EBITDA Uplift from Stelco Improvements

Stelco Production Capacity (m tons)	2,500
Capacity Utilization, %	80.0%
Production Volume	2,000
Price Increase (\$/ton)	\$ 250
Incremental EBITDA (\$ mm)	\$ 500

Here again, the assumptions above are not “heroic”.

Financial Summary

Below is my financial summary for CLF. Key items to note in the analysis are the following:

- **HRC Prices** – 1Q25 through 2Q26 are historical quarterly averages. 3Q26E through 4Q27E projects the current HRC spot price of \$1,156/ton as of 07/24/26.
- **Shipment Volumes** – CLF is guiding for shipment volumes to increase by ~300k net tons in 3Q26E from 4,025k net tons in 2Q26 (see 2Q26 earnings presentation, slide 11). The model projects volumes remain constant at 4,325k net tons from 3Q26 through 4Q27.
- **Avg. Realized Prices** – CLF is guiding for Avg. Realized Prices to increase by ~\$55/ton in 3Q26 from 2Q26 (see 2Q26 earnings presentation, slide 11). This is incorporated into the model, with the 3Q26E Avg. Realized Price of \$1,179/ton, up \$55/ton from \$1,124/ton in 2Q26. Then, to account for the anticipated Fixed Price Contract Improvements as well as the Stelco Improvements, the model assumes Avg. Realized Prices increase from \$1,179/ton to \$1,241/ton in 2027E. Importantly, please note that the projected spread CLF will realize on its steel vs. the HRC industry benchmark is \$85/ton. This is less than the spread CLF earned in 2025 of \$155/ton, as shown in the model. Again, this is indicative that the model's projections are not “heroic”.
- **Cost Per Ton Shipped** – CLF is guiding for unit costs to decline by ~\$10/ton in 3Q26E from 2Q26 (see 2Q26 earnings presentation, slide 11). The model incorporates this reduction with Cost Per Ton Shipped declining to \$1,178/ton in 3Q26E from \$1,188/ton in 2Q26, as shown. Cash operating costs on a per ton basis are then kept constant from 3Q26E through 4Q27E. If one wants to be more conservative one can incorporate some inflationary pressures into these costs over time, but given that the model only extends out 18 months, these pressures should be minimal.
- **Capex** – Management is guiding to \$700mm in capex for 2026E (see 2Q26 earnings presentation, slide 19). The model projects capex spend remains flat in 2027E.
- **Proceeds from Non-Core Asset Sales** – CLF is under contract to sell all of its targeted non-EBITDA contributing assets by the end of 2026 (as commented by management on the 2Q26 earnings call). CLF has already received ~\$100mm of the ~\$425mm in expected proceeds. The model projects that CLF will receive the remaining \$325mm in proceeds in 4Q26E.

	Q1 2025	Q2 2025	Q3 2025	Q4 2025	2025	Q1 2026	Q2 2026	Q3 2026	Q4 2026	2026	Q1 2027	Q2 2027	Q3 2027	Q4 2027
HRC (\$/ton)	\$ 803.8	\$ 895.8	\$ 838.8	\$ 860.1	\$ 849.6	\$ 983.6	\$ 1,088.3	\$ 1,156.0	\$ 1,156.0	\$ 1,096.0	\$ 1,156.0	\$ 1,156.0	\$ 1,156.0	\$ 1,156.0

STEEL

Production and Sales Volume

Production Capacity (000 tons)	5,000.0	5,000.0	5,000.0	5,000.0	20,000.0	5,000.0	5,000.0	5,000.0	5,000.0	20,000.0	5,000.0	5,000.0	5,000.0	5,000.0
Capacity Utilization, %	82.8%	85.8%	80.6%	75.4%	81.1%	82.2%	80.5%	86.5%	86.5%	83.9%	86.5%	86.5%	86.5%	86.5%
Steel Shipments (000 tons)	4,140.0	4,290.0	4,029.0	3,770.0	16,229.0	4,108.0	4,025.0	4,325.0	4,325.0	16,783.0	4,325.0	4,325.0	4,325.0	4,325.0

Pricing

Avg. Realized Price (\$/ton)	\$ 980.0	\$ 1,015.0	\$ 1,032.0	\$ 992.2	\$ 1,005.0	\$ 1,048.0	\$ 1,124.0	\$ 1,179.0	\$ 1,179.0	\$ 1,133.7	\$ 1,241.0	\$ 1,241.0	\$ 1,241.0	\$ 1,241.0
Spread to Benchmark (\$/ton)	\$ 176.2	\$ 119.2	\$ 193.2	\$ 132.2	\$ 155.4	\$ 64.4	\$ 35.7	\$ 23.0	\$ 23.0	\$ 37.8	\$ 85.0	\$ 85.0	\$ 85.0	\$ 85.0

Revenues

Steel Revenues	\$ 4,057.2	\$ 4,354.4	\$ 4,157.9	\$ 3,740.7	\$ 16,310.1	\$ 4,305.2	\$ 4,524.1	\$ 5,099.2	\$ 5,099.2	\$ 19,027.6	\$ 5,367.3	\$ 5,367.3	\$ 5,367.3	\$ 5,367.3
Other	409.8	416.7	403.1	413.3	1,642.9	451.8	527.9	530.0	530.0	2,039.7	530.0	530.0	530.0	530.0
Total	\$ 4,467.0	\$ 4,771.0	\$ 4,561.0	\$ 4,154.0	\$ 17,953.0	\$ 4,757.0	\$ 5,052.0	\$ 5,629.2	\$ 5,629.2	\$ 21,067.4	\$ 5,897.3	\$ 5,897.3	\$ 5,897.3	\$ 5,897.3
Growth, %	N.A.	N.A.	N.A.	N.A.	N.A.	6.5%	5.9%	23.4%	35.5%	17.3%	24.0%	16.7%	4.8%	4.8%

Total Cash Operating Costs \$/ton shipped	\$ 4,651.0	\$ 4,688.0	\$ 4,432.0	\$ 4,198.0	\$ 17,969.0	\$ 4,677.0	\$ 4,784.0	\$ 5,096.7	\$ 5,096.7	\$ 19,654.5	\$ 5,096.7	\$ 5,096.7	\$ 5,096.7	\$ 5,096.7
	\$ 1,123.4	\$ 1,092.8	\$ 1,100.0	\$ 1,113.5	\$ 1,107.2	\$ 1,138.5	\$ 1,188.6	\$ 1,178.4	\$ 1,178.4	\$ 1,171.1	\$ 1,178.4	\$ 1,178.4	\$ 1,178.4	\$ 1,178.4

EBITDA \$/ton shipped	(184.0)	83.0	129.0	(44.0)	(16.0)	80.0	268.0	532.4	532.4	1,412.9	800.6	800.6	800.6	800.6
	(\$ 44.4)	\$ 19.3	\$ 32.0	(\$ 11.7)	(\$ 1.0)	\$ 19.5	\$ 66.6	\$ 123.1	\$ 123.1	\$ 84.2	\$ 185.1	\$ 185.1	\$ 185.1	\$ 185.1

CONSOLIDATED

Revenues

Steelmaking	\$ 4,467.0	\$ 4,771.0	\$ 4,561.0	\$ 4,154.0	\$ 17,953.0	\$ 4,757.0	\$ 5,052.0	\$ 5,629.2	\$ 5,629.2	\$ 21,067.4	\$ 5,897.3	\$ 5,897.3	\$ 5,897.3	\$ 5,897.3
Other	162.0	163.0	173.0	159.0	657.0	165.0	174.0	175.0	175.0	689.0	175.0	175.0	175.0	175.0
Total	\$ 4,629.0	\$ 4,934.0	\$ 4,734.0	\$ 4,313.0	\$ 18,610.0	\$ 4,922.0	\$ 5,226.0	\$ 5,804.2	\$ 5,804.2	\$ 21,756.4	\$ 6,072.3	\$ 6,072.3	\$ 6,072.3	\$ 6,072.3

EBITDA

Steelmaking	(184.0)	83.0	129.0	(44.0)	(16.0)	80.0	268.0	532.4	532.4	1,412.9	800.6	800.6	800.6	800.6
Other	10.0	14.0	14.0	15.0	53.0	15.0	18.0	18.0	18.0	69.0	18.0	18.0	18.0	18.0
Total	(174.0)	97.0	143.0	(29.0)	37.0	95.0	286.0	550.4	550.4	1,481.9	818.6	818.6	818.6	818.6

Depreciation & Amortization	282.0	393.0	288.0	272.0	1,235.0	259.0	262.0	260.0	260.0	1,041.0	260.0	260.0	260.0	260.0
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EBIT	(456.0)	(296.0)	(145.0)	(301.0)	(1,198.0)	(164.0)	24.0	290.4	290.4	440.9	558.6	558.6	558.6	558.6
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Interest Expense	140.0	149.0	153.0	152.0	594.0	148.0	156.0	133.4	130.3	567.7	130.3	130.3	130.3	130.3
Interest Income	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.6	0.2	0.9	5.0	9.0	12.9	16.9

Other Income/(Expense)	18.0	139.0	23.0	(104.0)	76.0	15.0	16.0	0.0	0.0	31.0	0.0	0.0	0.0	0.0
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EBT	(578.0)	(306.0)	(275.0)	(557.0)	(1,716.0)	(297.0)	(116.0)	157.7	160.3	(95.0)	433.3	437.2	441.2	445.2
Taxes	(134.0)	(72.0)	(69.0)	(233.0)	(508.0)	(77.0)	(12.0)	33.1	33.7	(22.2)	91.0	91.8	92.7	93.5
Rate, %	23.2%	23.5%	25.1%	41.8%	29.6%	25.9%	10.3%	21.0%	21.0%	23.4%	21.0%	21.0%	21.0%	21.0%
Net Income	(\$ 444.0)	(\$ 234.0)	(\$ 206.0)	(\$ 324.0)	(\$ 1,208.0)	(\$ 220.0)	(\$ 104.0)	\$ 124.6	\$ 126.7	(\$ 72.8)	\$ 342.3	\$ 345.4	\$ 348.5	\$ 351.7
Mintority Interest	12.0	13.0	17.0	8.0	50.0	8.0	11.0	20.9	20.9	60.8	31.1	31.1	31.1	31.1
Net Income to Common	(\$ 456.0)	(\$ 247.0)	(\$ 223.0)	(\$ 332.0)	(\$ 1,258.0)	(\$ 228.0)	(\$ 115.0)	\$ 103.6	\$ 105.8	(\$ 133.6)	\$ 311.2	\$ 314.3	\$ 317.4	\$ 320.6
FD Shares Out.	495.0	495.0	495.0	547.0	508.0	570.0	571.0	570.5	570.5	570.5	570.5	570.5	570.5	570.5
FD EPS	(\$ 0.92)	(\$ 0.50)	(\$ 0.45)	(\$ 0.61)	(\$ 2.48)	(\$ 0.40)	(\$ 0.20)	\$ 0.18	\$ 0.19	(\$ 0.23)	\$ 0.55	\$ 0.55	\$ 0.56	\$ 0.56

Free Cash Flow

EBITDA								\$ 550.4	\$ 550.4		\$ 818.6	\$ 818.6	\$ 818.6	\$ 818.6
Interest Expense								(133.4)	(130.3)		(130.3)	(130.3)	(130.3)	(130.3)
Interest Income								0.6	0.2		5.0	9.0	12.9	16.9
Taxes								(33.1)	(33.7)		(91.0)	(91.8)	(92.7)	(93.5)
Capex								(195.0)	(196.0)		(175.0)	(175.0)	(175.0)	(175.0)
Proceeds from Non-Core Asset Sales								0.0	325.0		0.0	0.0	0.0	0.0
Total								\$ 189.6	\$ 515.7		\$ 427.3	\$ 430.4	\$ 433.5	\$ 436.7

Balance Sheet

Cash								\$ 70.0	\$ 24.6	\$ 540.2		\$ 967.5	\$ 1,397.9	\$ 1,831.5	\$ 2,268.2
Total Debt								7,703.0	7,468.5	7,468.5		7,468.5	7,468.5	7,468.5	7,468.5
Net Debt								\$7,633.0	\$7,443.9	\$6,928.2		\$6,501.0	\$6,070.6	\$5,637.0	\$5,200.3

Valuation

At CLF's current stock price of \$11.93, the Company has market capitalization of \$6.8bn and an EV of \$14.7bn. Using management's projections, CLF is currently trading at only 4.5x EV/2027E EBITDA and at a very strong 25% FCF yield.

I anticipate that over the next 6-9 months, the consensus 2027E EBITDA estimate for CLF will increase to be more in line with management's projections, driving the stock upward in the process. At a reasonable 6.0x EV/EBITDA multiple on \$3.3bn of 2027E EBITDA and accounting for cumulative FCF and the commensurate decline in Net Debt, CLF stock should trade to ~\$23, up >90% from current levels. Increases in steel prices between now and then would provide even further upside.

CLF should trade at a discount to competitors Nucor (NUE) and Steel Dynamics (STLD) given CLF is an integrated producer and thus doesn't have the operational flexibility of electric arc furnace (EAF) producers such as NUE and STLD. For reference, NUE is currently trading at 8.4x EV/2027E EBITDA and STLD is currently trading at 8.9x EV/2027E EBITDA.

Valuation Analysis

2027E EBITDA	\$ 3,274.3
EV / EBITDA	6.0 x
Enterprise Value	\$ 19,645.8
Net Debt (end of 1Q27E)	6,501.0
Mintority Interest	214.0
Equity Value	\$ 12,930.9

FD Shares	570.5
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Value Per Share	\$22.66
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Potential for Shareholder Returns

Since closing on the acquisition of Stelco in November 2024, which CLF predominantly funded with debt, CLF has been directing its FCF toward deleveraging. During the 2Q26 earnings call CLF management noted that the Company has a clear path of reaching its 2.5x Net Leverage target over the next 12 months (see 2Q26 earnings presentation, slide 18). It is possible that once the Company reaches its net leverage target, management could begin returning cash to shareholders in the form of dividends and/or buybacks. For reference, CLF repurchased \$733mm worth of stock in 2024 and then suspended its buying after announcing the Stelco acquisition.

Although not a core part of the CLF investment thesis, the resumption of returning cash to shareholders could serve as an additional catalyst for the stock.

Key Risks

Key risks to the long thesis for CLF include:

- **Steel Prices** – The biggest risk to the CLF thesis is steel prices. Post the imposition of Section 232 tariffs, steel imports into the US have declined materially, supporting prices in the process. Any change in US tariff policy could have a negative impact on steel prices and CLF's financial performance.
- **Macroeconomic** – As a participant in the economically-sensitive steel industry, CLF is exposed to macroeconomic risks, including interest rates, unemployment, automotive demand, construction demand, etc.
- **Union Workforce** – As of 12/31/25 CLF had over 18,000 employees subject to collective bargaining agreements. CLF management is regarded as "union friendly" and has a good relationship with the United Steelworkers (USW). During the 2Q26 earnings call, management announced that they have officially started negotiations with the USW to renew its collective bargaining agreement. Management noted that the process is off to a constructive and productive start. That being said, there always remains a risk that negotiations do not go as well as planned and could result in higher-than-expected wages and benefits being paid to the union, resulting in reduced financial performance for CLF.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

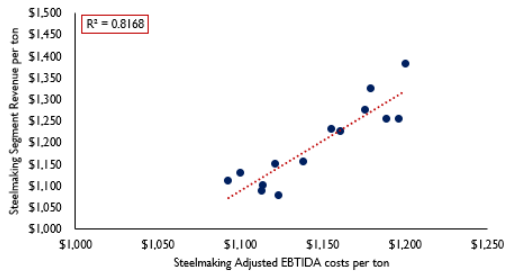
- **Revision of Consensus Estimates** - I anticipate that over the next 6-9 months, the consensus 2027E EBITDA estimate for CLF will increase to be more in line with management's projections, driving the stock upward in the process. At a reasonable 6.0x EV/EBITDA multiple on \$3.3bn of 2027E EBITDA and accounting for cumulative FCF and the commensurate decline in Net Debt, CLF stock should trade to ~\$23, up >90% from current levels. Increases in steel prices between now and then would provide even further upside.
- **Potential for Shareholder Returns** - During the 2Q26 earnings call CLF management noted that the Company has a clear path of reaching its 2.5x Net Leverage target over the next 12 months (see 2Q26 earnings presentation, slide 18). It is possible that once the Company reaches its net leverage target, management could begin returning cash to shareholders in the form of dividends and/or buybacks. For reference, CLF repurchased \$733mm worth of stock in 2024 and then suspended its buying after announcing the Stelco acquisition. Although not a core part of the CLF investment thesis, the resumption of returning cash to shareholders could serve as an additional catalyst for the stock.

Messages

Subject Thanks for Writeup & Few Q
Entry 07/27/2026 01:40 PM
Member penguin253
 Few points:

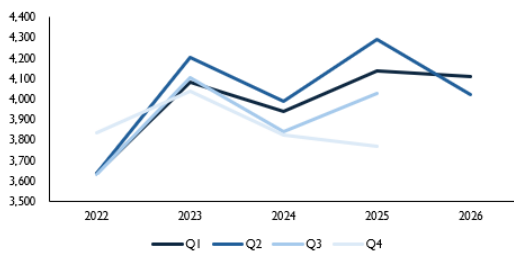
You assume that the incremental uplift in pricing is 100% margin. You can see below that there is not much operating leverage. I excluded the post-COVID craziness in the steel market as we cannot compare Ifl.

CLF Steelmaking Costs vs. Revenue (Q1 23 - Q2 26)



You assume volume remains constant – this is a seasonal business.

Volume Seasonality



The HRC curve is backwardated after September – pricing falls to \$1043 on the futures curve. Customers currently have perverse incentives right now to negotiate fixed contracts as they see future prices going down (see forward curve). I can see more shifting towards index linked contracts.

I don't disagree with 6x forward EV/EBITDA, however valuing a steel business on NTM EBITDA is a bit of a sin

Subject Re: Thanks for Writeup & Few Q
Entry 07/28/2026 12:18 PM
Member quads1025

Penguiin,

Thank you for your questions. Yes, you are correct. I am projecting that the incremental uplift in pricing is 100% margin. Any increase in steel prices should fall 100% through to EBITDA. CLF sources the vast majority of its iron ore pellet requirements, so it's not exposed to the same raw material input increases that other steel producers face. Very true, CLF has exposure to increases in scrap, coking coal, natural gas prices, electricity prices, labor prices, diesel prices, etc. So, while the relationship between incremental steel prices and EBITDA uplift should be 1:1, empirically it never is because there's other variables in the equation. That being said, for the purposes of the financial analysis, a 100% incremental margin is a valid projection.

The chart that you produced is the correct analysis. However, you state that by looking at the chart, you can see that there's not much operating leverage. That's an incorrect conclusion because there was no operating leverage for CLF to capture from 1Q23 through 2Q26. During that time CLF's Avg. Realized Price/ton for steel was "flat to down". Here are the figures as reports by CLF:

- 2023 - \$1,171/ton
- 2024 - \$1,081/ton
- 2025 - \$1,005/ton
- 1Q26 - \$1,048/ton
- 2Q26 - \$1,124/ton

If steel prices were going up, then there would be operating leverage for CLF to capture.

As far as the seasonality of the business, yes, I left volumes flat. Obviously, feel free to incorporate seasonality into your own model if you see fit. It doesn't change the overall picture, though.

And yes, the HRC futures curve is backwardated. What's more important, however, is that the entire HRC futures curve has shifted up significantly over the past 6 months, largely due to Section 232 tariffs. Six months ago, 2028 prices for steel were ~\$900/ton. Now they are \$1,040/ton. So, the market is expecting "higher for longer" steel prices which is good for CLF.

On the last note that valuing a steel company on NTM EBITDA is a "bit of a sin", again, if you want to value CLF differently, please do so. If you have a different methodology that invalidates the long thesis for CLF, please share for the benefit of VIC.

Overall, my argument is that there's a large disconnect between the consensus EBITDA estimate for 2027E and what is possible for the Company to generate based on prevailing steel prices and reasonable projections. That's the opportunity to take advantage of given where CLF's stock is trading. The risk/reward profile appears highly skewed to the upside.

Subject

Re: Re: Thanks for Writeup & Few Q

Entry

07/28/2026 03:53 PM

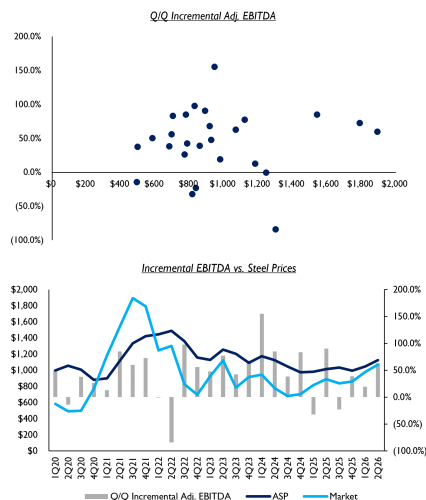
Member

penguiin253

Hi Quads, appreciate the response!

While the whole curve has moved up, since liquidity is so thin in the HRC contract that far out (2028), those numbers can be a bit unreliable (but your point still stands). My point was more that your model runs \$1,156 flat through 4Q27 while the curve is at around \$1040.

On the operating leverage point, I'd still be hesitate to use 100% incremental margins. Median across all 26 quarters is 49%, and across just the 13 quarters where ASP rose it's 60%. From 4Q20 to 2Q22, when ASP went \$880 to \$1,487 and spot roughly tripled, the best three quarters averaged 72%. As a caveat, quarterly incremental margins are noisy, but 100% still seems a tad too aggressive.



I'd personally run valuation on EBITDA - maintenance capex and apply a multiple to normal earnings power (maybe an average of 26E, 27E, and 28E). Just using Adj. EBITDA, here is what I would come to assuming they meet 2027 Adj. EBITDA guidance, which I am hesitant about:

Avg Adj. EBITDA	2,632
Multiple	6.0x
EV	15,794
(+) Net Debt	(7,633)
(+)	(214)
Equity Value	7,947
S/O	570
Share Price	\$13.94

I also think any math on import prices would be beneficial for this analysis as there are indices that track landed US prices from China, India, etc. If US prices end up above import in 2027, we will see a mix of volume and price headwind.

Another chart worth looking at:

